

The Foxconn Decision

BACKGROUND BRIEF, 2017



Background for the Saturday Board's Foxconn question, published after the board was run. Facts checked against the public record on 2026-08-28.

Issue card. "A famous company will build a huge factory here — but only if the state pays it billions in incentives it could spend on other things. What should the state do?"

The problem. Wisconsin's manufacturing employment had been eroding for decades. In 2017 the Taiwanese electronics giant Foxconn dangled a prize: a \$10 billion LCD "megafactory" in Racine County, promising up to 13,000 jobs — if the state paid to win it over rival states.

The decision. 2017 Wisconsin Act 58: a special-session incentive package worth roughly \$3 billion in refundable state tax credits (about \$4 billion with local subsidies), the largest state subsidy to a foreign company in US history. The Senate passed it 20–13, the Assembly 64–31, largely along party lines with a handful of crossovers. Gov. Scott Walker signed it in September 2017; the contract followed in November.

Who was in power. Gov. Walker (R); Republican majorities in both houses (Senate 20–13, Assembly 64–35).

The consultation. The deal was negotiated in secret (code-named "Flying Eagle") and announced at the White House before most legislators had seen terms. A special session compressed hearings into weeks. The Legislature's own Fiscal Bureau projected the state would not break even until 2042 at the earliest — the package passed anyway.

What happened since. The factory shrank repeatedly. By 2021 the contract was renegotiated down to \$80 million in credits for ~1,450 jobs and \$672 million of investment. By end-2024 Foxconn had created about 1,200 jobs — roughly a tenth of the promise. (A further \$569M/1,374-job server-plant expansion was announced in late 2025, on new, much smaller incentives.)

Sources: [WPR](#), [Legislative Fiscal Bureau Act 58 summary](#), [CNBC 2024 retrospective](#), [WEDC 2025 expansion](#).